

4 things student loan borrowers should do before July 1

By

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For most of the past decade, the smartest thing many federal student loan borrowers could do was wait — whether that meant waiting for a payment pause to be extended, waiting for a forgiveness program to clear the courts or waiting for the rules to settle. That wait-and-see strategy is about to backfire for many borrowers, though. On July 1, the federal student loan system will stop being something borrowers can ride out and become something they have to actively manage.

That shift traces back to the One Big Beautiful Bill Act, which the Education Department is using to collapse a tangle of repayment plans, cap how much families can borrow and unwind the SAVE program that has kept millions of student loan borrowers in payment limbo. These changes will have a direct and clear impact on the federal student loans landscape, and unlike past overhauls, much of it lands on a single date. That, in turn, leaves a narrow runway for borrowers.

And, whether you're a parent weighing a student loan for your child, a graduate student mapping out tuition or a borrower who hasn't logged into your account recently, the decisions you make now could impact your balance and your monthly bill for the foreseeable future. So, what steps should you take in the coming weeks, before those changes go into effect? That's what we'll outline below.

[Learn more about your top private student loan options here.](#)



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The upcoming federal student loan changes won't affect every borrower in the same way, but there are several steps to consider taking before the deadline arrives. Here are some of the most important:

Review your repayment plan options

One of the biggest upcoming changes involves federal student loan repayment programs. Starting July 1, the repayment system will become much more streamlined, with new borrowers generally choosing between a standard repayment plan and a new income-driven option called the Repayment Assistance Plan (RAP). Existing repayment programs are also being phased out over time.

So, if you're currently enrolled in an income-driven repayment plan or were previously part of the SAVE plan, now is a good time to review your status and understand how future changes could affect your monthly payment. Some borrowers may find that they ultimately need to transition into a new plan, making it important to compare costs and eligibility requirements before any deadlines arrive.

Compare the best private student loans you could qualify for now.



Determine whether you qualify for grandfathered rules

Graduate students and some parent borrowers face some of the most significant changes under the new law. Starting July 1, Graduate PLUS loans will no longer be available to new borrowers, and new borrowing caps will apply to many graduate and professional students. Parent PLUS loans will also be subject to new annual and lifetime limits.

However, certain borrowers who already have federal student loans and remain enrolled in the same academic program may qualify for legacy or grandfathering provisions that allow them to continue borrowing under the current rules for a limited period. So, if you're planning to attend graduate school, are already enrolled in a graduate program or expect to rely on Parent PLUS loans, contact your school's financial aid office immediately to determine whether you may qualify for these protections.

Reevaluate your college financing strategy

For many families, the July 1 deadline marks more than a policy change. It may also require a complete reassessment of how future education costs will be covered. For example, graduate students who previously planned to use Graduate PLUS loans to cover

tuition and living expenses may need to explore alternatives. Or, parents who expected to borrow large amounts through Parent PLUS loans may need to adjust their plans due to new borrowing caps.

Before July arrives, review projected education costs and explore other funding sources, including scholarships, grants, employer tuition assistance programs, payment plans, private student loans and personal savings. Having a strategy in place now can help avoid financing gaps later.

Update your student loan information and documentation

When major federal loan changes occur, communication becomes critical. In turn, it's important to ensure that your contact information is current with your loan servicer and the Department of Education. Missing an email, notification or deadline could result in confusion about repayment options, required actions or eligibility for specific programs.

It's also wise to download or save copies of your important loan records, repayment plan information and payment histories. Having documentation readily available can make it easier to resolve issues if questions arise as new policies are implemented. While this step may seem simple, it can prevent unnecessary headaches during a period of significant administrative change.



The bottom line

July 1 is shaping up to be one of the most consequential dates for federal student loan borrowers in years. New repayment structures, tighter borrowing limits and the elimination of certain loan programs will affect how students and families pay for higher education moving forward. The good news is that borrowers still have time to prepare by reviewing repayment options, determining whether grandfathering provisions apply, reassessing financing plans and ensuring loan information is up to date. Taking those steps now may provide greater flexibility and fewer surprises once the new rules officially take effect.